Zepto inventory and pricing analysis: business recommendations

A business analytics report based on SQL-driven inventory, pricing, and operational analysis.

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Objective

This document summarizes business recommendations derived from the SQL analysis of the Zepto inventory and pricing dataset. The objective is to translate analytical findings into actionable decisions related to inventory management, pricing strategy, category optimization, and operational efficiency.

Executive summary

The analysis indicates that inventory value is highly concentrated in a few categories, stockout rates vary significantly across categories, premium products are concentrated in specific segments, and low-weight products dominate the overall assortment. These findings suggest opportunities to improve inventory allocation, replenishment planning, pricing strategy, and warehouse operations.

1. Discount strategy optimization

-Finding:

- The highest discounts observed were 50–51%.
- Deep discounts were concentrated in a relatively small group of products.

-Business implication:

These products are likely functioning as traffic-driving or promotional SKUs.

-Recommendation:

- Ensure high-discount products remain consistently available during promotions.

- Bundle these products with higher-margin complementary items to increase basket value.
- Measure conversion uplift and margin impact before expanding deep-discount campaigns.

2. Premium product stockout management

- Finding:

- Multiple products with MRP above ₹300 were out of stock.
- The highest affected premium product had an MRP of ₹565.

-Business implication:

Stockouts in premium products reduce high-value sales opportunities and negatively affect customer experience.

-Recommendation:

- Prioritize replenishment of premium SKUs.
- Create automated alerts for premium product stockouts.
- Maintain higher safety stock for high-margin products with frequent stockout risk.

3. Inventory value concentration

-Finding:

The highest inventory value categories were:

Category	Inventory Value	Share of Total
Munchies	₹337,369	15.04%
Cooking Essentials	₹337,369	15.04%
Paan Corner	₹270,849	12.07%
Personal Care	₹270,849	12.07%

The top four categories account for 54.22% of total inventory value.

-Business implication:

- More than half of the inventory investment is concentrated in four categories.
- This indicates that inventory investment is unevenly distributed across categories, increasing working-capital exposure in a limited number of segments.

-Recommendation:

- Apply stricter inventory monitoring to these categories.
- Improve demand forecasting and reorder point optimization.
- Review slow-moving SKUs within these categories to reduce excess working capital.

4. Premium pricing strategy

-Finding:

Many products priced between ₹500 and ₹1,000+ had discounts below 10%, with several premium products receiving 0% discount.

-Business implication:

These products demonstrate pricing power and may not require aggressive discounting.

-Recommendation:

- Avoid blanket discount campaigns for premium categories.
- Use targeted promotions for premium customer segments.
- Protect gross margins by limiting unnecessary discounting on premium SKUs.

5. Category discount effectiveness

-Finding:

Average discount by category:

Category	Average Discount
Fruits & Vegetables	15%
Meats, Fish & Eggs	11%
Biscuits	8%

-Business implication:

Fresh categories such as Fruits & Vegetables and Meats, Fish & Eggs receive higher average discounts than categories such as Biscuits.

-Recommendation:

- Evaluate whether higher discounts improve inventory turnover sufficiently to offset margin reductions.
- Compare discount levels with stockout rates and sales velocity before increasing promotional budgets.

6. Value-per-weight positioning

-Finding:

The lowest price-per-gram products ranged between ₹0.02 and ₹0.04 per gram, representing the strongest value offerings.

-Business implication:

Price-per-weight is a useful value metric for commodity and staple products.

-Recommendation:

- Use price-per-gram ranking to identify value-leading products and benchmark pricing against category averages.
- Identify products priced significantly above category averages for pricing review.

7. Product weight distribution

-Finding:

Weight Category	Products	Inventory Units
Low (≤500g)	3,221	12,902
Medium (501–1000g)	384	1,446
Bulk (>1000g)	126	611

Low-weight products represent 86.3% of all products and 86.2% of inventory units.

-Business implication:

The business is heavily concentrated in low-weight products.

-Recommendation:

- Prioritize warehouse layout for low-weight products.
- Optimize picking and replenishment processes for high-volume low-weight SKUs.
- Allocate less shelf space to bulk products while improving handling efficiency.

8. Inventory weight optimization

-Finding:

The highest inventory weight categories were:

- Cooking Essentials: 1,404,654 g

- Munchies: 1,404,654 g
- Chocolates & Candies: 490,797 g

-Business implication:

These categories dominate warehouse weight and handling requirements.

-Recommendation:

- Position heavy inventory categories closer to dispatch areas.
- Optimize storage allocation for high-weight categories.
- Review packaging and logistics costs associated with these categories.

9. Stockout rate by category

-Finding:

Category	Stockout Rate
Biscuits	28.57%
Dairy, Bread & Batter	21.71%
Beverages	21.71%
Meats, Fish & Eggs	19.05%
Fruits & Vegetables	6.45%

-Business implication:

- Biscuits has the highest stockout risk, with nearly 1 in 3 products unavailable.
- Biscuits has a 28.57% stockout rate, which is more than 4× higher than Fruits & Vegetables (6.45%), indicating a significantly higher replenishment risk.

-Recommendation:

- Increase replenishment frequency for Biscuits.
- Review supplier leads times for Dairy and Beverage categories.
- Set category-specific stockout thresholds and monitoring dashboards.

10. Premium stock exposure

-Finding:

Category	Premium Products	Avg MRP

Paan Corner	22	₹710
Personal Care	22	₹710
Munchies	19	₹953
Cooking Essentials	19	₹953

-Business implication:

Premium inventory is concentrated in a small number of categories.

-Recommendation:

- Implement premium-category inventory monitoring.
- Forecast premium demand separately from regular inventory.
- Protect availability of high-value products during promotional periods.

11. Strategic priorities

Based on the overall analysis, the highest-impact initiatives are:

1. Reduce stockouts in Biscuits, Dairy, and Beverages through improved replenishment planning.
2. Optimize inventory investment in Munchies and Cooking Essentials, which together account for 30.08% of total inventory value.
3. Protect premium product availability in Paan Corner, Personal Care, and Munchies.
4. Improve warehouse efficiency by redesigning storage allocation around the dominance of low-weight products.
5. Evaluate discount effectiveness in fresh categories where average discounts are significantly higher than other segments.

These recommendations focus on improving revenue protection, inventory efficiency, warehouse operations, and pricing optimization using the insights generated from the SQL analysis.